DEPARTMENT OF AGRICULTURE AND FARMERS WELFARE
AGRICULTURE INFRASTRUCTURE FUND (AIF) GUIDELINES 2025

Chapter II: Objectives, Eligible Projects, and Beneficiaries

Norm 4: Eligible Post-Harvest Management Projects

Under AIF, medium-to-long term debt financing is provided for investment in viable projects for post-harvest management infrastructure and community farming assets, including:

1. Modern Cold Storage and Cold Chain facilities.
2. Warehouses, Silos, and Pack-houses.
3. Sorting, Grading, and Primary Processing units.
4. E-marketing platforms tied to e-NAM and assaying labs.

Eligible beneficiaries include Primary Agricultural Credit Societies (PACS), Marketing Cooperative Societies, Farmer Producer Organizations (FPOs), Self Help Groups (SHGs), and individual Agri-entrepreneurs.

Chapter IV: Financial Incentives, Interest Subvention, and Moratorium

Norm 7: Interest Subvention Structure

All loans disbursed under this financing facility shall have an interest subvention of 3.0% per annum up to a loan limit of Rs. 2.00 Crore (Rupees Two Crore). In case of loans sanctioned to PACS, the interest subvention is directly passed on to reduce borrowing rates to below 4% per annum.

Norm 9: Maximum Duration of Subvention

The interest subvention benefit is available for a maximum period of 7 years from the date of first loan disbursement.

Norm 11: Credit Guarantee Coverage

Credit guarantee coverage under the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) scheme is available for loans up to Rs. 2.00 Crore. The guarantee fee shall be paid entirely by the Central Government without burdening the borrowing PACS or farmer.